



**WCO Anti-Corruption and Integrity Promotion (A-CIP)
Programme for Customs**

**Summary Report: Results of the First
Customs Integrity Perception Survey (CIPS)**

for

Ghana Revenue Authority (GRA)



May 2020

PUBLICATION HISTORY

Date	Document Version	Updates Made
07/05/2020	0	Draft version prepared by WCO for review by GRA A-CIP Coordinator before submission to Commissioner.
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ABBREVIATIONS AND ACRONYMS

A-CIP	(WCO) Anti-Corruption and Integrity Promotion Programme for Customs
CIPS	(WCO A-CIP Programme) Customs Integrity Perception Survey
GRA	Ghana Revenue Authority
IMF	International Monetary Fund
MSS	Mobile Survey Station
Norad	Norwegian Agency for Development Cooperation
PID	Project Information Document
TADAT	Tax Administration Diagnostic Assessment Tool
WCO	World Customs Organization

1. Introduction and Background

In January 2019 Ghana Revenue Authority (GRA) and the World Customs Organization (WCO) began work together on the Anti-Corruption and Integrity Promotion (A-CIP) Programme with funding support from the Norwegian Agency for Development Cooperation (Norad). As outlined in the initial *WCO Letter of Intent to GRA*, A-CIP offers a results-based, multi-annual programmed approach to addressing corruption in Customs and aims to have a positive effect on society at large in the form of contributing to an improved business environment for cross-border trade.

An innovative approach to measure levels of integrity

Fundamental to the results-based approach is having both qualitative and quantitative ways to measure levels of integrity within Customs administration and operations. During the first year of joint WCO-GRA activity under the WCO A-CIP Programme, qualitative evidence was collected through information exchanges and a scoping mission. This assessed GRA's current situation regarding the 10 key factors of the WCO Revised Arusha Declaration using the framework provided in the WCO's Integrity Development Guide. Information from this, primarily qualitative assessment, has been used to identify, with the administration, key priority areas for possible WCO assistance and intervention under A-CIP. Findings were presented in a Project Information Document (PID) prepared and finalized with GRA for submission to Norad in February 2020.

A survey structured around the Revised Arusha Declaration

In addition to the qualitative assessment, the WCO developed a methodology for a Customs Integrity Perception Survey (CIPS) that is similarly structured around the 10 key factors of the Revised Arusha Declaration. CIPS aims to assess in a quantitative way how Customs officials and private sector stakeholders evaluate the level of integrity in Customs administration and operations. Specifically, this survey allows verification of how successful these groups think that Customs authorities are in promoting integrity and battling corruption.

In doing so, the CIPS is an instrument that can help improve the capacities to measure the administrations' performance in key areas related to Customs integrity. Within this context, the primary objective of the CIPS is to help set a benchmark or baseline that quantifies the current level of integrity in these administrations, both generally and in particular the areas that will be the focus of interventions under the WCO A-CIP Programme.

For an ongoing process of improvement

With this benchmark or baseline as a starting point, it is envisaged that the survey will be repeated at least once more before the end of the A-CIP Programme. This will allow quantitative evidence to be gathered on the success of the measures implemented to improve integrity and counter corruption.

This CIPS Summary Report for GRA provides an overview of how the survey was delivered in Ghana, and supplements the full survey results data tables in the file "*2020 CIPS Results Ghana.xlsx*" that was provided to GRA at the end of March. The administration is encouraged to conduct its own additional analysis on these tables.

The report highlights in particular those survey responses relating to the key factor areas that will be important for measuring performance of interventions towards achieving the Specific Outcomes planned with GRA under the A-CIP Programme. Lastly, the report also identifies other responses that may stand out as noteworthy for GRA's senior management team.

2. Delivery of CIPS in Ghana

GRA reviewed the survey questions with the methodology sent by the WCO in July and provided the information necessary in order to calculate target sample sizes to ensure a statistically relevant response.

The table below illustrates the total number of employees directly involved in Customs administration and operations ('total number of Customs officials'), as reported by GRA in November 2019. The target sample size, provided in the last column, is calculated on the basis of the following formula with the aim of achieving a 95% confidence level and 4% margin of error.

$$\frac{\frac{z^2 \times p(1-p)}{e^2}}{1 + \left(\frac{z^2 \times p(1-p)}{e^2 N} \right)}$$

z = z-score (1.96)
 p = Sample proportion (0.5)
 e = Margin of error
 N = Population size

Total Number of Customs Officials	Sample Size
2,446	483

The sample size for the private sector stakeholders to be included in the survey was calculated by our partner EY Germany, through research on the total number of relevant entities in the country. More details of the methodology used in this process can be provided by the WCO upon request. For Ghana, the total population of relevant private sector stakeholders and target sample size was identified as follows:

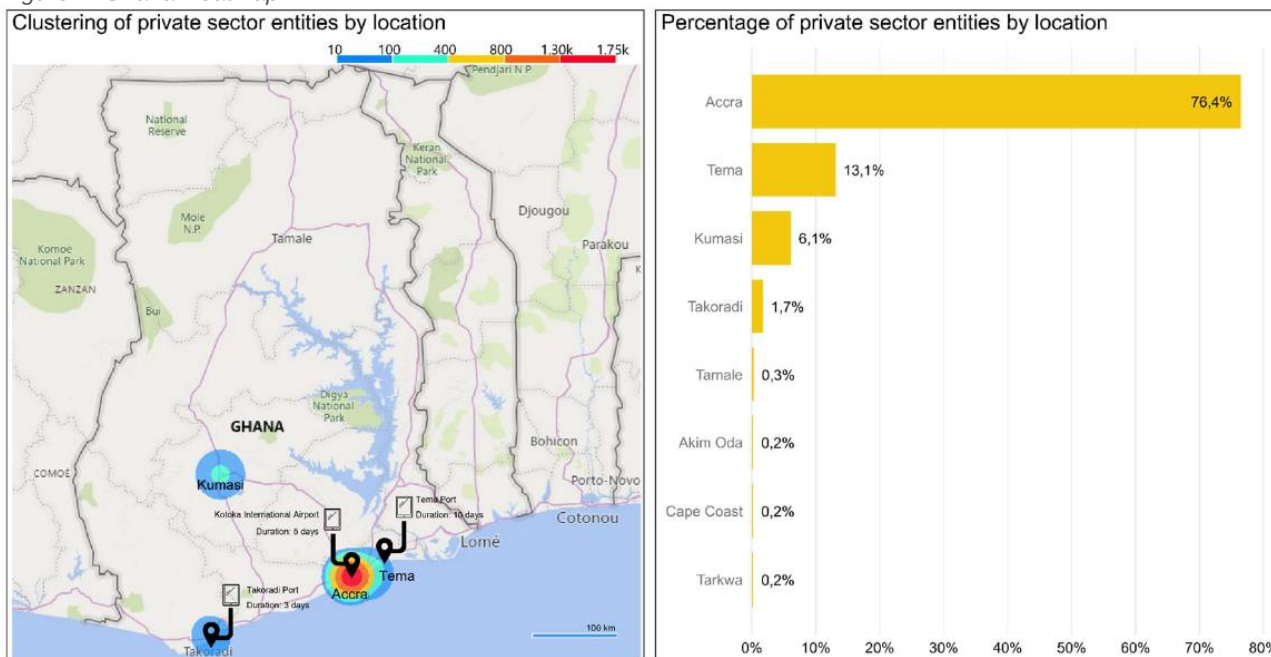
Total Number of Relevant Private Entities	Sample Size
2,136	469

Lastly, target locations for the physical sites to conduct the survey were identified through analysis of the concentration of relevant private sector entities and volumes of trade subject to Customs regulatory processes.

As a result of this analysis, three Customs office locations were chosen to conduct the survey:

- 1) Takoradi Port
- 2) Kotoka International Airport, and
- 3) Tema Port.

Figure 1: Ghana Heatmap



In the month prior to the survey delivery, a communications campaign was initiated with GRA, in English, to raise awareness of the upcoming survey activity.

Figure 2: Sample of CIPS communication campaign materials

YOUR OPINION MATTERS!

CUSTOMS INTEGRITY PERCEPTION SURVEY

As part of its Anti-Corruption and Integrity Promotion Programme, the World Customs Organization needs your contribution:

Where/ When: Takoradi Port (08.01.2020 - 10.01.2020), Kotoka International Airport (13.01.2020 - 17.01.2020), Tema Port (20.01.2020 - 31.01.2020)

Who: Customs officials & private stakeholders

Turn over for more information

WHY YOUR CONTRIBUTION MATTERS:

Enhance integrity
fight corruption

Improve business &
international trade

SURVEY STEPS & ADDITIONAL INFORMATION

Go to the customs office

Receive a number

Go to the survey station

1234 Insert given number

Complete the survey
15 minutes

Data is encrypted

Anonymous and secure transfer

Your answers are anonymous and will be treated with strict data security and confidentiality measures.

In case of any questions, comments or concerns please contact:
Josefin Luise von Massow
Phone: +49 160 939 23540
E-Mail: Josefin.Luise.von.Massow@ey.com

YOUR OPINION MATTERS!

IMPROVE INTEGRITY AND FIGHT CORRUPTION BY BEING A PART OF THE CUSTOMS INTEGRITY PERCEPTION SURVEY IN JANUARY 2020

The World Customs Organization invites you to take part in the Customs Integrity Perception Survey supported by EY Germany.

For more information, please refer to the flyers provided or ask in this customs administration.

15 minutes

Question 1 ☐

Question 2 ☐

Question 3 ☐

Next

Takoradi Port (08.01.2020 - 10.01.2020),
Kotoka International Airport (13.01.2020 - 17.01.2020),
Tema Port (20.01.2020 - 31.01.2020)

Planning and practical modalities of CIPS

From 8th to 31st January 2020, the survey was conducted in the three selected locations by EY Germany, with the support of local staff from EY Ghana, and GRA officials, via Mobile Survey Stations (MSS) which were used to conduct the survey anonymously and securely. More information about the use of MSS in delivery of CIPS is available upon request.

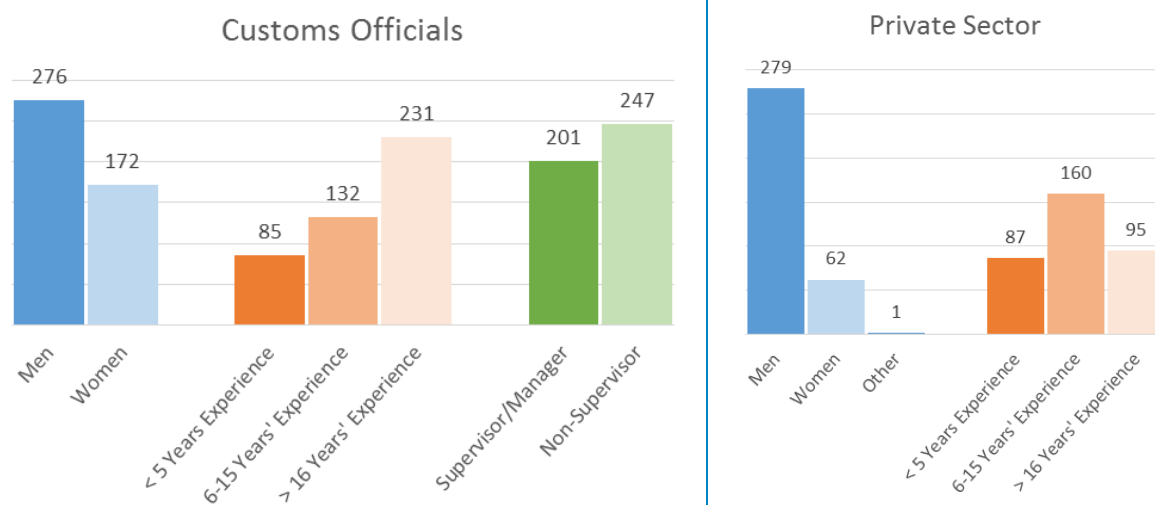
To ensure accurate representation of the population of interest, a random grab-sampling of the potential respondents was carried out by EY staff during the conduct of the survey, for both Customs officials and private sector stakeholders. For additional control and data quality purposes, EY staff on ground conducted identification checks via personnel badges, IDs or name tags of respondents and/or by face control to avoid duplication of participants. No personal data was stored.

In the end, complete response data was collected from a total 790 respondents in total made up of 448 Customs officials and 342 private sector representatives. This allows us to interpret the response to CIPS in Ghana with approximately 95% confidence level.

Ghana CIPS Respondents	Total Population	Sample Size Target	Actual Number of Survey Respondents	Survey Margin of Error
Customs Officials	2,446	483	448	4.19%
Private Sector	2,136	469	342	4.86%

Demographic questions were included at the beginning of the survey that allow for further analysis of the results by gender, years of experience, and supervisory role for Customs officials and gender and years of experience for private sector respondents. The demographics of the respondents to CIPS in Ghana was as follows:

Figure 3: CIPS Ghana Response Demographics



3. Key Findings

Both questionnaires for the private sector and Customs officials were designed around the ten key factors of the WCO Revised Arusha Declaration:

- | | |
|----------------------------|--|
| 1. Leadership & Commitment | 6. Audit & Investigation |
| 2. Regulatory Framework | 7. Code of Conduct |
| 3. Transparency | 8. Human Resource Management |
| 4. Automation | 9. Morale & Organizational Culture |
| 5. Reform & Modernization | 10. Relationship with the Private Sector |

CIPS: a key component of the A-CIP Program and the GRA's strategic and operational plans for integrity

One of the general aims of the WCO A-CIP Programme is to support GRA's monitoring and management of all their integrity-related initiatives in line with all 10 key factors of the Revised Arusha Declaration. Therefore all CIPS response data can be used to aid this process.

However, it is worth noting the fact that the qualitative analytical work conducted by the WCO with GRA during the Scoping Phase of the A-CIP Programme identified two key factors as particularly important for WCO-supported action, and linked them to specific result outcomes to be targeted by the Programme.

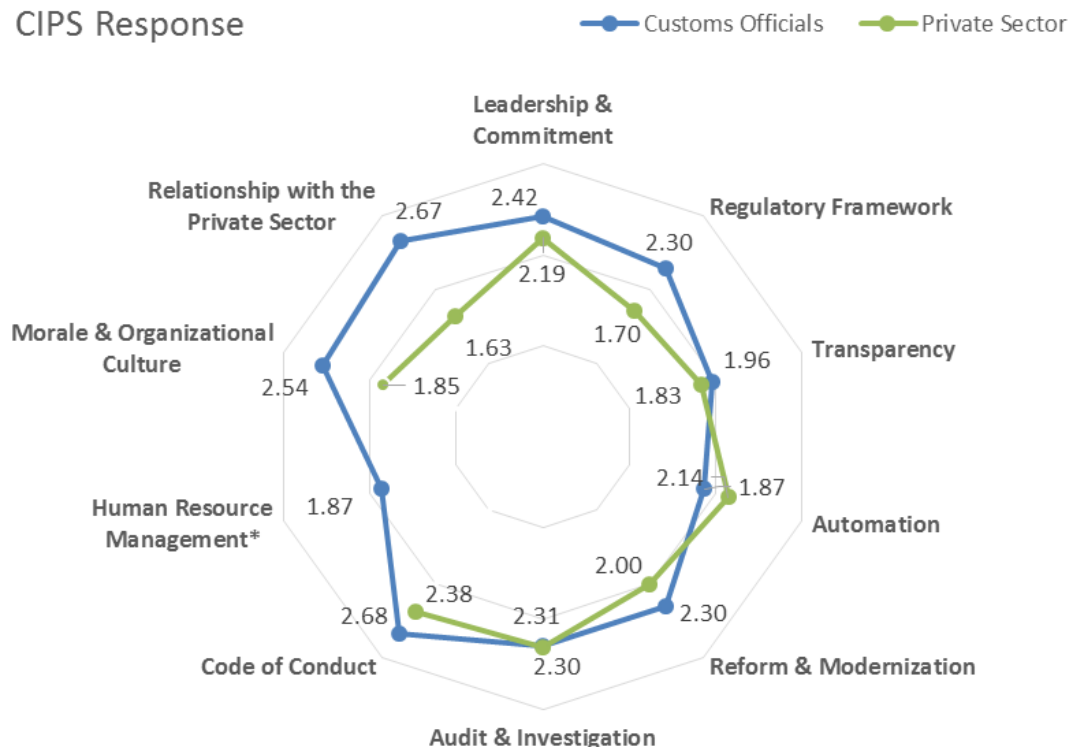
Ghana CIPS Respondents	Outcome	Related Key Factor(s)
GRA A-CIP General Outcome 1	<i>Monitoring and implementation management of integrity initiatives in line with Revised Arusha Declaration</i>	ALL
GRA A-CIP Specific Outcome 2	<i>Internal control mechanisms strengthened</i>	4. Audit & Investigation
GRA A-CIP Specific Outcome 3	<i>Public perceptions of and confidence in GRA Customs operations and administration improved</i>	10. Relationship with the Private Sector

As CIPS is a survey of perceptions only, its results should be considered with this caveat, especially when combined with other work conducted to understand the current situation relating to integrity in Customs. Where there is divergence between CIPS results and other assessment results, it should not automatically be assumed that one or the other is more 'correct'. Rather, reasons for divergence may be found in other factors such as lack of awareness, communications, and other motivations. Where applicable, some of these issues are explored in this summary.

A positive picture of GRA's Monitoring and implementation management of integrity initiatives

Overall, with respect to responses to CIPS across all ten key factors of the Revised Arusha Declaration, and to aid GRA's implementation of A-CIP General Outcome 1 - *Monitoring and implementation management of integrity initiatives in line with Revised Arusha Declaration*, we see a generally positive picture:

CIPS Response



*The key factor, Human Resource Management, was not included in the Private Sector CIPS questionnaire due to its purely internal focus.

In the context of CIPS performance analysis, a score of 3 indicates the most desirable response, while a score of 0 is the least desirable.

Integrity roles and behaviours understood and accepted

Among both GRA Customs officials and private sector representatives, **the responses were most positive in relation to the key factor of Code of Conduct**. These questions measured perceptions relating to awareness, clarity, fairness and application of GRA's Code of Ethics and Conduct. The positive response to this part of the survey indicates that both GRA's staff and private sector representatives understand well the roles and behaviors that are expected of them relating to integrity.

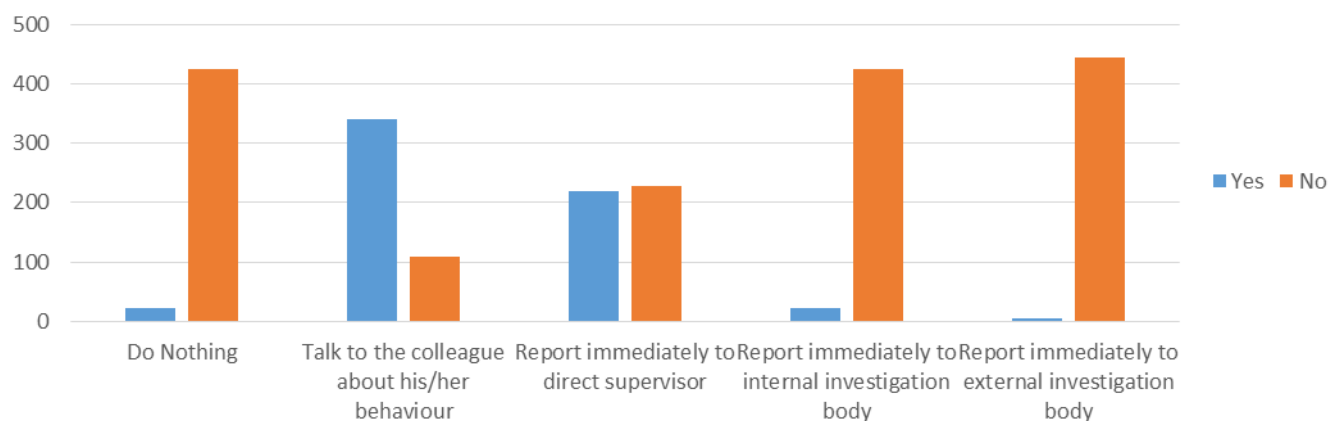
Both Customs officials and private sector representatives **also responded positively to questions around GRA's leadership and commitment to integrity**. Both groups indicated that they see positive examples of integrity in the actions of GRA's management and leadership, and that integrity is considered a priority within the administration.

Common views on the strength of Audit and Investigation in GRA

Notable for the WCO A-CIP Programme in Ghana and the Specific Outcome *to strengthen internal control mechanisms* is the fact that both GRA Customs officials and private sector representatives had a similarly positive view of GRA's current audit and investigative capacity. Questions related to this key factor focused on corruption reporting, as well as perception of actions taken to investigate and respond to corrupt behaviours. 55 out of the 342 private sector respondents reported having been part of an integrity investigation led by Customs internal investigations and, of those, the majority (83%) reported having had a positive experience.

In addition, the vast majority (nearly 95%) of GRA Customs officials indicated that they would take some form of action in response to suspecting that a colleague accepts money from business to ignore procedures.

GRA Customs Officials' Response to Corruption



While the responses to this section of the survey would indicate positive results for GRA on Audit & Investigation, it is important to view them in light of responses to other related CIPS questions, in particular in the relationship with the private sector key factor, as will be detailed later in this section.

Global HR management: a major axis of integrity development

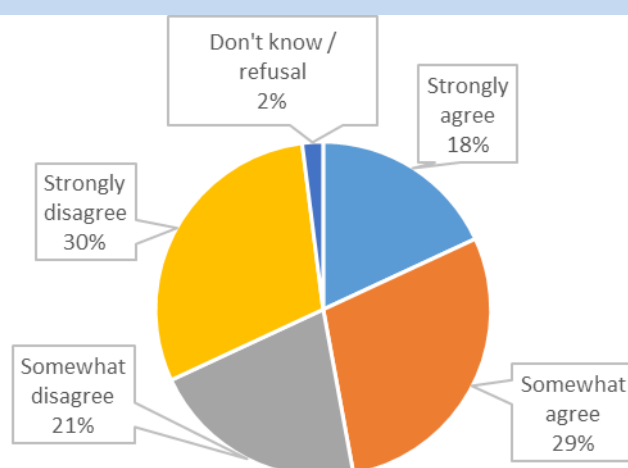
Perceptions relating to the key factor Human Resource Management scored the lowest among GRA Customs officials but it is worth noting that most of the lowest scoring responses came from one question in particular regarding perceptions of **merit-based recruitment and promotion** in the administration. Responses to this question were split approximately 50-50 between staff who agreed GRA recruitment and promotion was based on merit, and those who did not.

This split in response did not change significantly between genders but belief in a merit-based system appeared to decrease with length of service in GRA and was lowest among staff without leadership responsibilities.

Responses to other questions relating to salary satisfaction within GRA as well as sufficiency of integrity-related training were generally positive (scoring 2.12 without the merit-basis question being taken into account).

As outlined in the Revised Arusha Declaration, implementation of sound human resource management policies and procedures plays a major role in the fight against corruption in Customs. Ensuring staff selection and promotion procedures are free of bias and favoritism and based on the principle of merit is an important part of this.

Question C_8c: "Recruitment and promotion in my administration are based on merit."



Differing perceptions on relationship with the private sector

Another result of note from the survey is the **divergence between Customs officials and private sector perceptions relating to their relationship with each other**. This difference exceeds the tendency towards general ‘aspirational bias’ that we would expect to see for Customs officials to report more positively on a survey supported by their administration than private sector respondents.

Questions in this part of the survey looked at points such as the extent to which GRA Customs officials felt their day-to-day interaction with the private sector was professional and correct, as well as the private sector’s view on responsibility and accountability in the relationship.

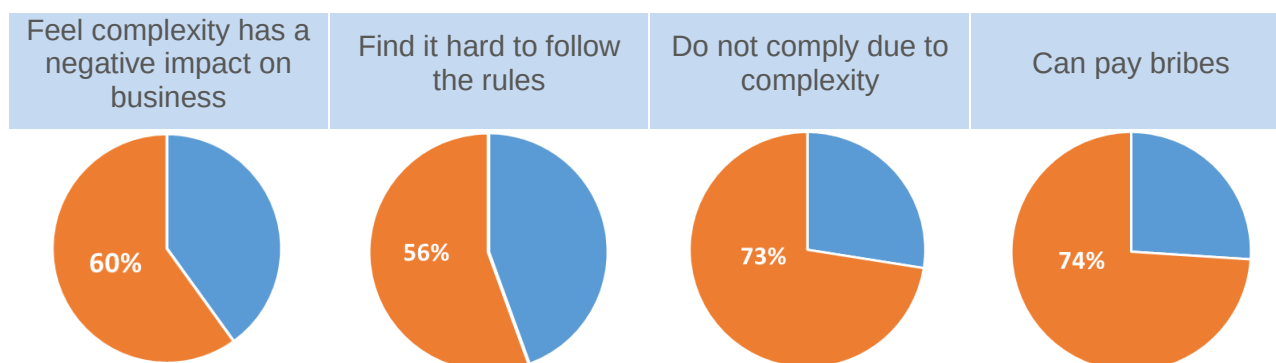
Most notable, when considering responses to other parts of the survey, i.e. Audit and Investigation, **fewer than 50% of the private sector respondents said they know the procedures to report instances of corruption when dealing with Customs administration and nearly 50% said they do not feel safe enough to report instances of corruption**. There is a statistically significant link (based on Chi-square calculations) between respondents not knowing the procedures to report incidents of corruption and not feeling safe enough to report them.

Furthermore, over a quarter (26%) of the private sector respondents said they would pay a fee to speed up the Customs process if asked by a Customs official. However, most worryingly nearly three-quarters (74%) of private sector respondents indicated that **it is possible not to comply with Customs requirements through the payment of bribes**. Since the CIPS sampling methodology aimed to capture views that are largely representative of all of Ghana’s private sector’s dealing with Customs, this figure gives a major cause for concern when considered against potential for revenue loss.

Impact of private sector perceptions of complexity of regulatory frameworks

Closely linked to the above, and another area of relative divergence between GRA Customs officials and private sector responses is that related to the Regulatory Framework key factor and the effectiveness, clarity and complexity of the regulatory framework governing Customs administrative processes. Here, most Customs officials responded relatively positively, indicating a good sense of understanding and ownership of Customs regulations. On the other hand, nearly two thirds (60%) of the private sector respondents noted that **complexity of Customs regulations has a negative impact on their capability to do business** and more than half (56%) feel that it is **hard to follow the rules of the administration because they are too complex**.

In fact, nearly three quarters (73%) of private sector respondents admitted to **not complying with the rules of the administration because they are too complex**.



Foster a partnership approach with the private sector

The response to CIPS response underlines the need for GRA to look at ways in which its relationship with the private sector might be further aligned with the recommendations of Revised Arusha Declaration which sets out a partnership approach with the private sector for anti-corruption efforts.

A good example of the importance of this link is evident in the data from CIPS in Ghana. In particular, the contrast perceived strength of GRA's internal control, audit and investigation capabilities, and the much weaker response by comparison from the private sector on reporting corruption and the actual ability to pay bribes. As strong and thorough as GRA's internal investigative functions, or abilities to *act* on reports of corruption might be, there is a suggestion that GRA may be missing out on a significant number of reports of corruption in the first instance. A significant portion of the private sector appear disinclined to report, either through lack of knowledge of the procedures or for fear of repercussions.

Building better links between GRA's audit and investigation functions and its relationship with the private sector will be a focus for the A-CIP Programme in Ghana, in particular Specific Outcome 2 - *Internal control mechanisms strengthened* and Specific Outcome 3 - *Public perceptions of and confidence in GRA Customs operations and administration improved*.

CIPS: assets and development prospects under the A-CIP Programme

There are several positive indications from CIPS that are relevant to this work under the A-CIP Programme which are also worth noting. In general, both the Customs officials and private sector representatives in their responses appeared to have a strong sense of personal ownership for integrity and anti-corruption efforts. Openness and transparency are also seen as key to a productive relationship with the private sector, and it is worth noting that both GRA Customs officials and private sector respondents scored this key factor almost equally well, albeit still a little below the desired level. Furthermore, efforts and investments by GRA in Automation initiatives have been well received by the private sector who, in fact, responded more positively than Customs officials to survey questions under this key factor.

4. Conclusions and Next Steps

While it is important to bear in mind that the data from CIPS only gives one piece of the overall picture of GRA's anti-corruption and integrity promotion efforts, it provides some useful insights to the minds of individuals whose actions and behaviors have a significant impact on GRA's institutional integrity.

Internal Controls and Relationship with the Private Sector: key factors of success

As the summary findings show, the insights from CIPS in Ghana support the WCO and GRA's work together under the A-CIP Programme as outlined in the GRA A-CIP Project Information Document (PID). Specifically, **it supports the Programme's focus on specific outcomes** related to Audit & Investigation and Relationship with the Private Sector key factors of the Revised Arusha Declaration.

Contributions and added value of the CIPS

CIPS is utilized under the Programme in two different ways, first by providing insights that can be used to inform and direct action to be taken, and secondly by providing a framework for performance measurement. More on how specific variables in CIPS will be used as performance measurement indicators for the A-CIP Programme is available in the Annex 1 to this report. The results of this 2020 implementation of CIPS will serve as a baseline for a repeat of the survey towards the end of the Programme (estimated in 2023) for which targets have been set.

Commitments of GRA supported and accompanied by the WCO A-CIP team

In addition to CIPS' specific applicability to the A-CIP Programme, GRA is encouraged to conduct its own analysis and **disseminate key information from the results of the survey to its internal and external stakeholders** with the aim to inform action and decision-making in response to insights offered by survey. The WCO A-CIP Team is prepared to support this process as needed. A step-by-step process by which this might be done is proposed in Annex 2 to this report.

By sharing the results of CIPS with various stakeholders, GRA increases the realization of benefits from the survey. An example of how this process may result in a desirable outcome for integrity would be sharing the results of the responses to the Automation key factor questions in CIPS with GRA's IT managers.

A result that might be of particular interest to them is the fact that more than a third of Customs officials did not think the introduction of automated Customs systems restricted opportunities to ignore procedures. This might prompt further action to review potential for strengthening systems role in process management and compliance.

Sharing results and development of partnerships

Sharing the results with external stakeholders can be a little more challenging, however the WCO advocates a partnership approach to integrity in Customs as it takes a change in mindset and behaviors on both sides to effect real gains in the fight against corruption. Such a partnership approach starts with transparency, accountability and open communications. This principle is reflected in other organizations' approaches, for instance, the IMF's Tax Administration Diagnostic Assessment Tool (TADAT) Performance Outcome Area 9 'Accountability and Transparency', upon which GRA was assessed in 2017, looks at the extent to which the administration makes public the results of integrity perception surveys.

There are a lot of positive messages to be taken from the results of CIPS in Ghana that are worth sharing. Even in those areas where the results show improvements can be made, GRA can demonstrate that it has or will be putting a plan in place to address these gaps. In these instances, the WCO A-CIP Programme aims to assist GRA's work in this direction.

ANNEX 1 – USE OF CIPS VARIABLES AS PERFORMANCE MEASUREMENT INDICATORS.

Through its questions to both Customs officials and private sector, the Customs Integrity Perception Survey (CIPS) offers 70 different variables relating to perceptions on Customs integrity. 66 of these variables are ordinal, meaning their results follow a certain scale. By assigning value, or a score to this scale from “most desirable” (score of 3) to “least desirable” (score of 0), these variables can be used as indicators for performance measurement purposes.

Such a scale has been applied to GRA’s CIPS results and is provided in the data file “2020 CIPS Performance Analysis Ghana.xlsx”. GRA is encouraged to utilize any of the indicators provided in its own performance measurement activity but for the purpose of the A-CIP Programme in Ghana, a few select indicators will be of specific interest and are applied in the Programme’s Results Indicator Framework as outlined in GRA’s Project Information Document and extracted below.

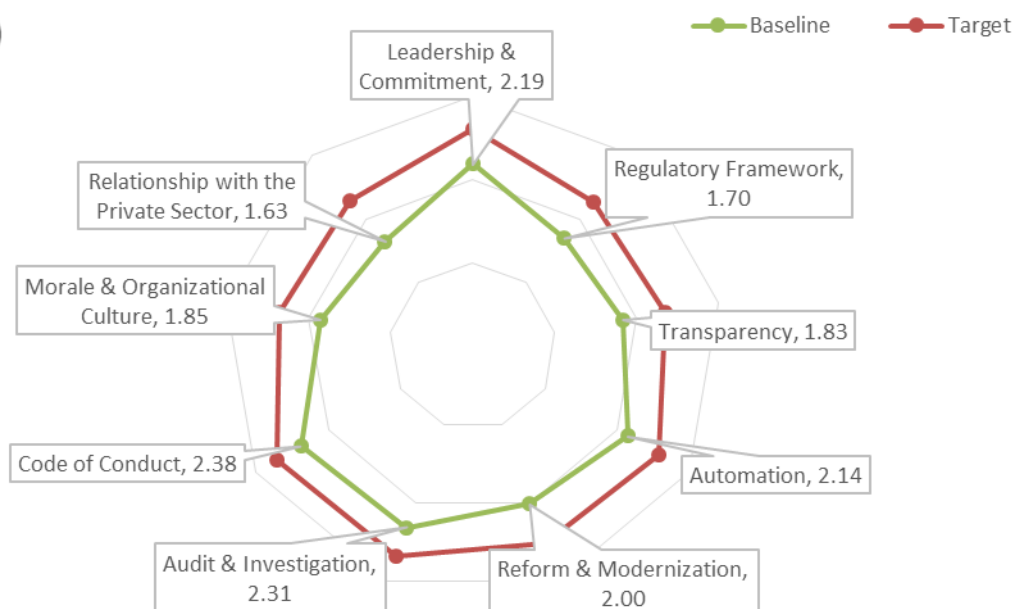
Note that targets for scores by the end of the A-CIP Programme have been set to reflect an 80% improvement across all survey responses. This has been calculated by assuming 80% of those who responded with one answer will respond with the next best answer during the final iteration of the survey.

Overall Objective (Impact): Business environment for cross-border trade improved in Ghana

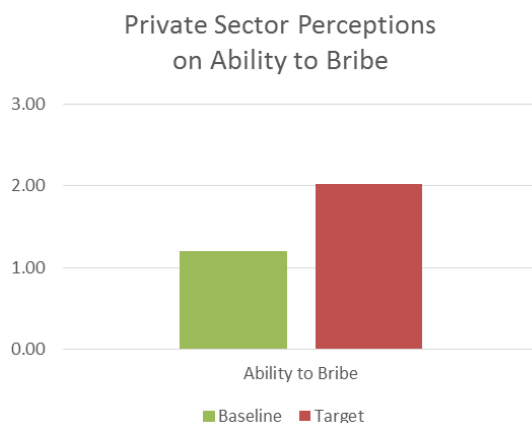
Result Indicator: Private sector respondents’ overall perceptions of the level of corruption and integrity in Customs improved from baseline.

The aggregate indicators for private sector responses for all parts of CIPS will be used:

CIPS Response
(Private Sector)



In addition, the private sector’s response to question PS_10e regarding the possibility of non-compliance with Customs requirements through the payment of bribes will also be included as an indicator for overall perceptions of the level of corruption in Customs.

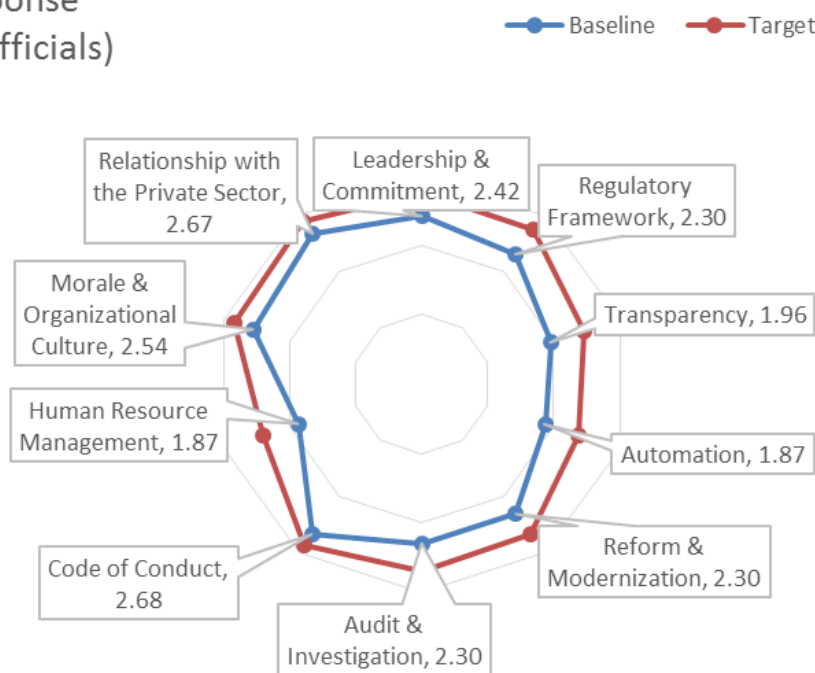


Long-term Outcome: Governance and integrity in Customs administration and operations within GRA improved

Result Indicator: Customs officials' overall perceptions of the level of corruption and integrity in Customs improved from baseline.

The aggregate indicators for Customs officials' responses for all parts of CIPS will be used:

CIPS Response (Customs Officials)

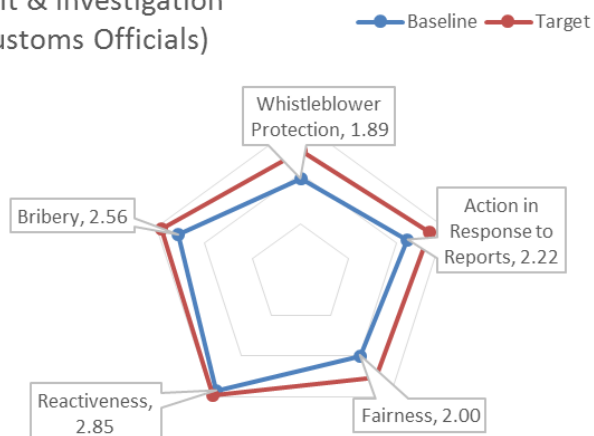


Specific Outcome 2: Internal control mechanisms strengthened

Result Indicator: GRA Customs officials' and private sector's perception relating to Audit & Investigation improved from baseline

The aggregate indicators for both Customs officials' and private sector responses for CIPS questions pertaining to the Audit & Investigation key factor of the Revised Arusha Declaration will be used.

Audit & Investigation
(Customs Officials)



Audit & Investigation
(Private Sector)

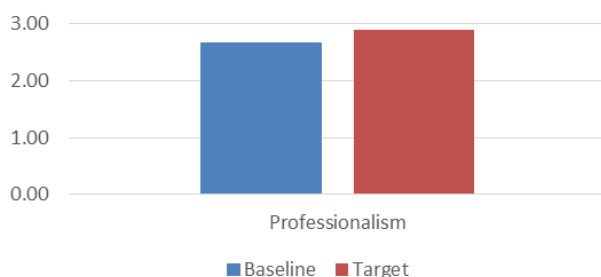


Specific Outcome 3: Public perceptions of and confidence in GRA Customs operations and administration improved

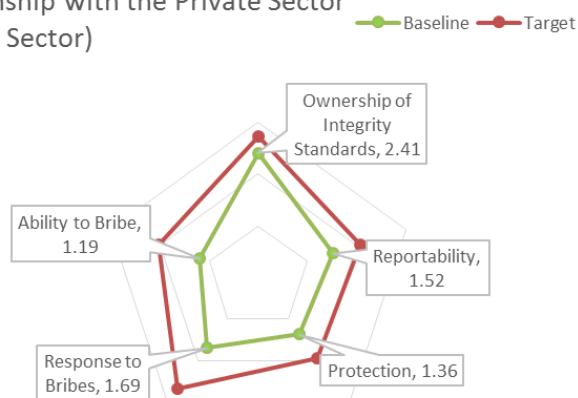
Result Indicator: GRA Customs officials' and private sector perception relating to relationship with the private sector improved from baseline.

The aggregate indicators for both Customs officials' and private sector responses for CIPS questions pertaining to the Relationship with the Private Sector key factor of the Revised Arusha Declaration will be used.

Relationship with the Private Sector
(Customs Officials)



Relationship with the Private Sector
(Private Sector)



ANNEX 2 – STEPS FOR SHARING CIPS RESULTS WITH STAKEHOLDERS

Step	Comments	WCO Assistance available
1. Identify key internal and external stakeholders and their interest in the survey	If possible, include those who participated in the WCO's A-CIP scoping missions. e.g. managers for the areas covered by each of the key factors, trade representatives, etc.	Template for CIPS stakeholder analysis. Assistance with identification of points of interest from the survey results specific to each stakeholder.
2. Make arrangements to communicate with stakeholders.	E.g. Internal management meetings, memos, press releases, letters to trade associations.	Assistance with development of communications for external stakeholders.
3. Collect feedback from stakeholders.	Communications in step 2 will invite feedback. This will be helpful to determine a) which result areas might be considered priorities for action b) which stakeholders are more or less likely to be supportive of change necessary.	Assistance with the analysis of feedback from stakeholders.
4. Determine response actions necessary and update organizational strategic action plans as appropriate.	Insights from CIPS and stakeholder responses may be applied in updates to strategic plans and new action plans within the administration.	A-CIP Programme planned activities may be adjusted as necessary and appropriate to support institutional actions.



WCO | A-CIP Programme

Launched in January 2019, with funding from the Norwegian Agency for Development Cooperation (Norad), the Anti-Corruption and Integrity Promotion (A-CIP) Programme responds to the recognised high costs of corruption in Customs. The Programme aims at improving the business environment for cross-border trade in selected WCO member countries by making changes to the operational and administrative context that restricts corrupt behaviour and promotes good governance in Customs operations and administration.

For more information:

<http://www.wcoomd.org/en/topics/capacity-building/activities-and-programmes/cooperation-programmes/acip-programme.aspx>

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